PICTET ASSET MANAGEMENT • STRATEGIC CHARTER 2030

AI in Asset Management: A Charter for 2030

Enterprise Operating Model, The Five-Party Compact, Reusable Services, and 90-Day Gated Delivery Architecture

STRATEGIC PREMISE

"If we were building an investment organisation from scratch for 2030, in an AI-enabled world, what would we build?"

Our answer: not a different firm, but a different operating model—and the fastest route to it runs through the firm we already have. We propose an institutional AI capability that redesigns real processes end to end, under the firm's existing controls, proving value one workflow at a time.

CONVENED BY
Executive Committee

TARGET AUDIENCE
Senior Leadership & Business Heads

STRATEGIC SCOPE
Firm-Wide Operating Model (2026–2030)

DOCUMENT ORIGIN
Strategic Operating Model Working Group

CLASSIFICATION
Strictly Private & Confidential • Internal Only

CORE STANDARD
Swiss Fiduciary Prudence & FINMA Compliance

1. Strategic Context & Operating Premise

> **STRATEGIC MANDATE & FRAMING QUESTION**
>
> *"As we consider the long-term implications of AI on our institutional investment platform, the fundamental question is: If we were designing an investment organisation from scratch for 2030, in an AI-enabled world, what operating model would we build?"*

This paper sets out the institutional charter across five core dimensions: **Why, What, Who, How, and When**, alongside the non-negotiable principles that govern every pilot.

The objective is not to experiment with AI tools in isolation, but to build an enduring institutional operating capability. We define this capability across four foundational pillars: **Fiduciary Primacy** (accountability remains with named individuals), **Private Intelligence** (sovereign cloud with zero data leakage), **Augmented Craft** (eliminating mechanical friction while elevating human judgment), and **Measurable Return** (validated cost-per-outcome reductions).



FIGURE 1.1: AI PROJECT GOVERNANCE: FIVE BUSINESS AREAS, FIVE ESSENTIAL PROJECT ROLES, AND 90-DAY DELIVERY CYCLES

2. Why: The Strategic Case for Operating Leverage

The motivation for the 2030 operating model is driven by structural industry shifts rather than technological fascination:

- **Structural Economics & Operating Leverage:** Institutional fee compression is permanent. The objective is lower cost per outcome: servicing more clients, complex mandates, and larger asset perimeters without proportional headcount growth.
- **Institutional Client Service:** RFP responses in hours rather than weeks, institutional-grade bespoke reporting, and mandate customization that is currently uneconomic to deliver manually.
- **Compounding Competitive Moat:** Operating capability compounds over time. Firms that learn to run controlled AI workflows accumulate proprietary data lineage, control patterns, and institutional habits that late movers cannot simply purchase off the shelf.
- **Capability Acceleration:** Each successful project establishes reusable foundations (permissions, logging, verification interfaces) that make every subsequent workflow cheaper, faster, and lower risk.

> **EXPLICIT EXCLUSIONS — WHAT THIS IS NOT**
>
> This programme is **not** technology for its own sake, **not** a blunt headcount reduction exercise, and **not** a speculative bet on autonomous investment performance.

3. What: Five Business Domains & Strict Boundaries

We build AI-enabled workflows across the five functional areas of the business, delivered as standardized, reusable, and audited enterprise services:

1. Winning & Retaining Clients

RFP questionnaire acceleration, bespoke client query engines, institutional due diligence automation.

2. Investing

Source-linked company & sovereign credit dossiers, broker consensus variance, pre-trade guideline screening.

3. Operating Products & Accounts

Tripartite NAV exception diagnosis, custody cash break resolution, corporate action impact validation.

4. Governance & Compliance

Mandate guideline breach pre-screening, regulatory reporting disclosure drafts, audit trail provenance.



FIGURE 3.1: FIVE BUSINESS DOMAINS — REUSABLE SERVICES, IN-SCOPE CRITERIA & EXCLUSIONS

STRICT OPERATING BOUNDARIES & EXCLUSIONS

Strictly Excluded: Autonomous investment execution, automated movement of cash or custody assets, client commitments issued without human review, and any workflow lacking a deterministic control layer. Exclusions are revisited only upon rigorous empirical evidence.

4. Who: The Five-Party Institutional Compact

Every AI project requires active co-ownership across five distinct institutional parties. **The absence or dissent of any single party is grounds not to commence:**

PARTY	INSTITUTIONAL ROLE	PRIMARY ACCOUNTABILITIES
User	Business Process Owner	Owns outcome, baseline metrics, operational adoption, and ongoing execution post-handover.
IT	Enterprise Architecture	Ensures architectural alignment, sovereign cloud security, data pipelines, and core system integration.
Risk & Compliance	Independent Gatekeeper	Grants independent approval of data rights, privacy impact (revFADP), and deterministic controls.
Management	Executive Governance	Controls stage-gate funding release, strategic prioritization, and independently verified financial return.
Project Manager	Delivery & Cadence	Drives 90-day timebox cadence, enforces gate criteria, and unblocks inter-departmental dependencies.

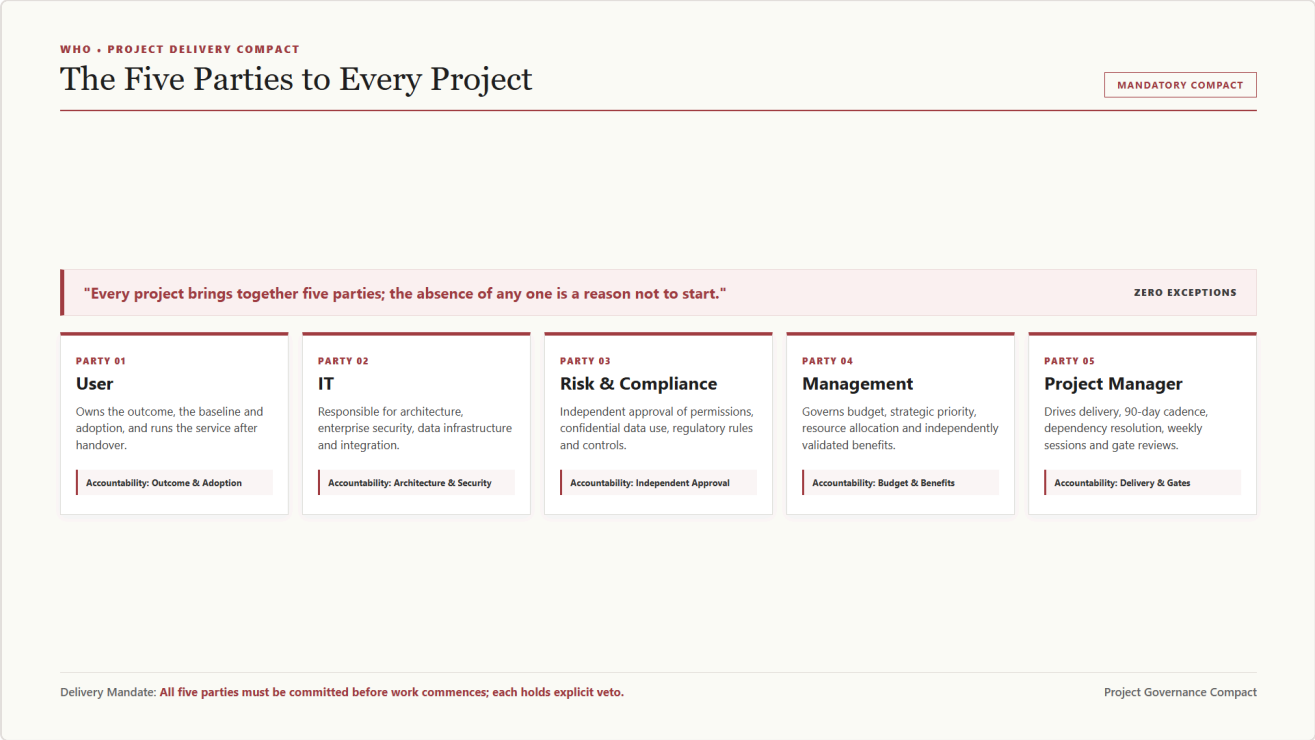


FIGURE 4.1: THE FIVE-PARTY INSTITUTIONAL COMPACT & MANDATORY DELIVERY PACT

5. How & When: 90-Day Cadence & Phased Horizons

Delivery operates under strict agile governance: **scope is variable, but time is fixed at 90 days.**

- **Timebox Discipline:** 90 days to a working outcome tested on live data. Defining acceptance criteria across User, IT, and Compliance upfront before any code is written.
- **Front-Load Dependencies:** Data access, legal addendums, and compliance reviews commence on Day 1 in parallel with development.
- **Stopping on Evidence:** A cleanly aborted pilot is celebrated as a successful governance outcome; punishing honest stops guarantees hidden failure.
- **Timing Policy:** Fast follower on technology (buy/rent standard models; prices are collapsing); first mover on organizational capability (the learning clock cannot be compressed later).

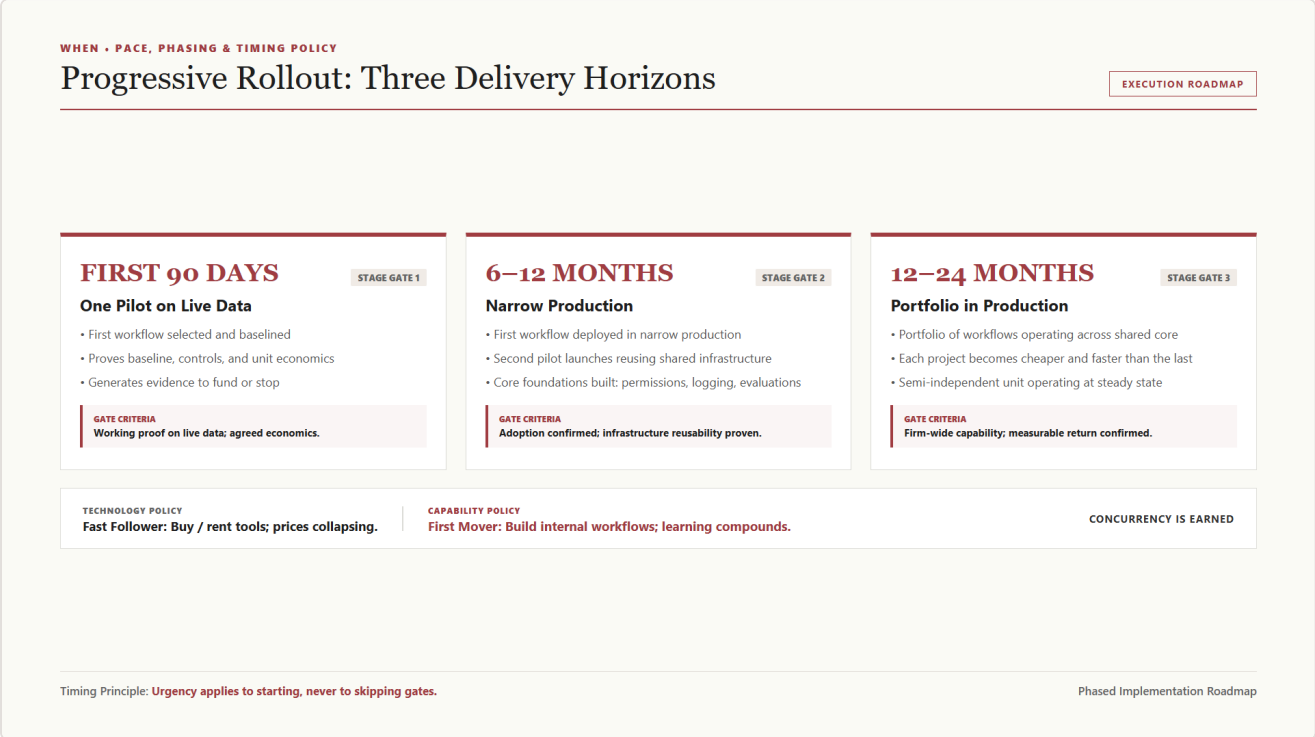


FIGURE 5.1: PHASED IMPLEMENTATION ROADMAP & PROGRESSIVE CONCURRENCY GATES

6. The Seven Fiduciary Principles

Seven non-negotiable principles govern every project initiated under the charter:

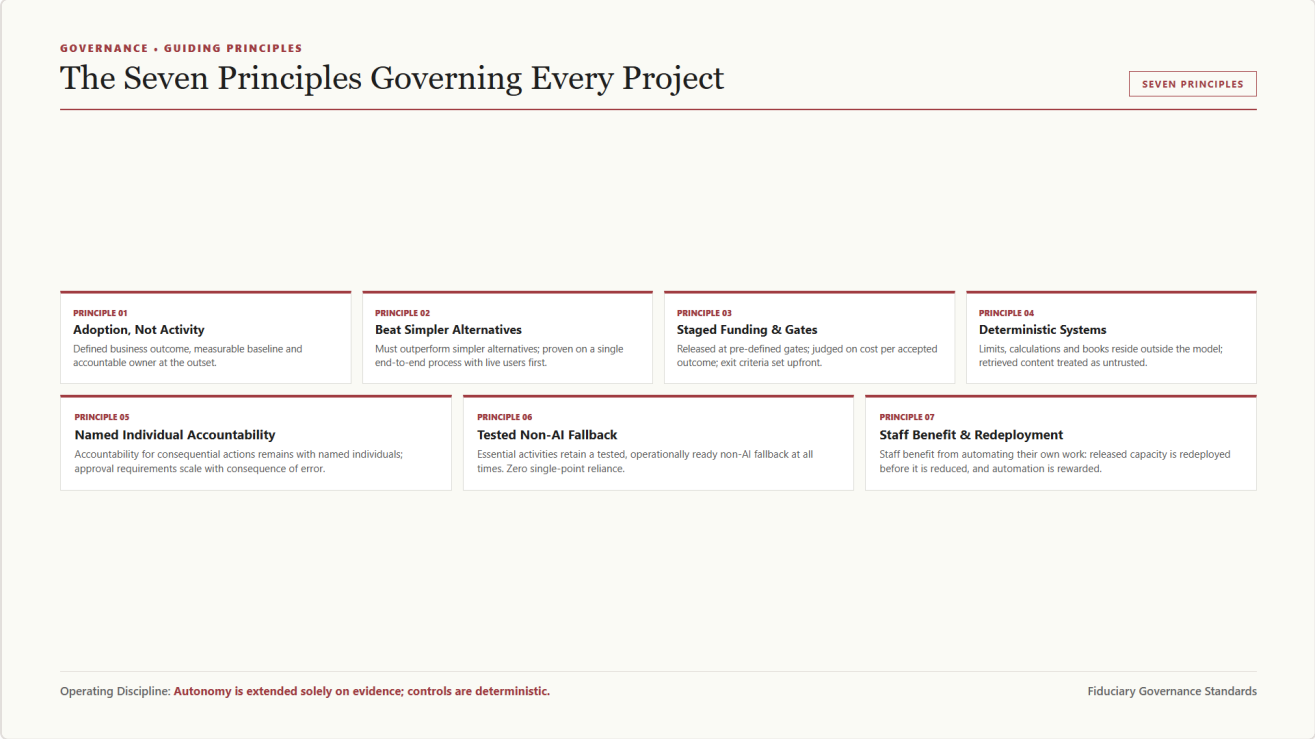


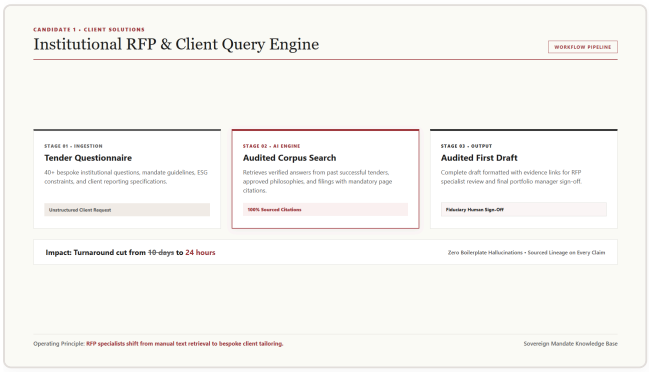
FIGURE 6.1: THE SEVEN OPERATING PRINCIPLES GOVERNING EVERY ENTERPRISE INITIATIVE

1. **Adoption, Not Activity:** Every initiative begins with a defined business outcome, a measurable baseline, and an accountable owner; adoption is the sole metric of success.
2. **Beat Simpler Alternatives:** Automation must outperform heuristic rules and simpler alternatives; value must be proven on a single end-to-end process with live users first.
3. **Staged Funding Gates:** Capital is released at pre-defined gates, evaluated on cost per accepted outcome inclusive of human review; termination criteria are fixed upfront.
4. **Deterministic Controls Outside Model:** Limits, permissions, calculations, and books of record reside exclusively in deterministic systems outside generative models.
5. **Named Individual Accountability:** Legal and regulatory responsibility for all consequential actions remains with named individuals; approval gates scale with risk.
6. **Tested Non-AI Fallback:** All essential institutional workflows maintain an operationally ready, tested non-AI fallback at all times. Zero single-point reliance.
7. **Staff Benefit & Redeployment:** Staff must benefit directly from automating their own work: released capacity is formally redeployed before it is extracted, and automation is rewarded.

7. Candidate Workflow Prototypes

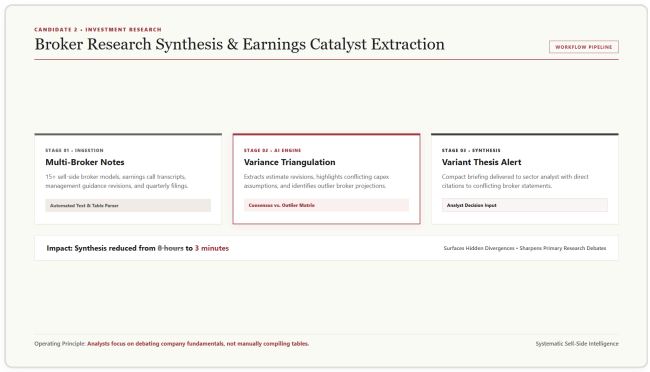
Four high-volume candidate workflows have been analyzed and engineered as initial pilot candidates:

Candidate 1: Institutional RFP Engine



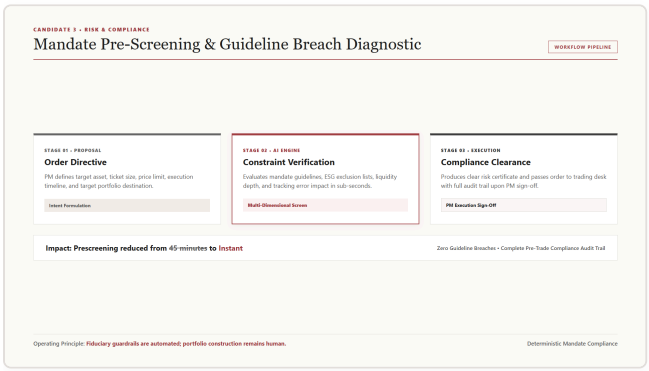
Distribution: Cuts questionnaire turnaround from 10 days to 24 hours via source-cited knowledge base.

Candidate 2: Broker Research Synthesis



Investment Research: Triangulates 15+ broker models and transcripts into variant consensus briefs in 3 minutes.

Candidate 3: Mandate Pre-Screening



Risk & Compliance: Instant pre-trade checks against bespoke SMA guidelines with deterministic violation checks.

Candidate 4: NAV Exception Diagnosis



Product Operations: Instant root-cause diagnostic across pricing, custody, and corporate actions.

8. Strategic Recommendations & Near-Term Decisions

To establish this institutional operating capability, we propose four concrete executive decisions:

- **Decision 1 (Foundational Pilot #1):** Approve **Candidate 1 (Institutional RFP Engine)** as the first Day-1 pilot. It carries zero market execution risk, clear measurable baseline metrics, and immediate commercial impact on institutional mandate win rates.
- **Decision 2 (Investment Research Priority):** Formalize **Candidate 2 (Broker Research Synthesis)** as the fast-follow pilot to anchor buy-side investment desk co-ownership.
- **Decision 3 (Sovereign Cloud Standard):** Establish the "Pictet Sovereign AI Cloud" mandate guaranteeing single-tenant isolation, compliance with revFADP / FINMA Circular 2018/3, and strict zero-training on client data.
- **Decision 4 (Foundry Operating Pact):** Charter the AI Systems Lab not as an isolated innovation lab, but as a joint execution foundry governed by Business, IT, and Compliance under the Five-Party Pact.